

INSURANCE AND PENSIONS COMMISSION



**QUARTERLY REPORT
FOR
FUNERAL ASSURERS**

FOR THE HALF YEAR ENDED 30 JUNE 2015

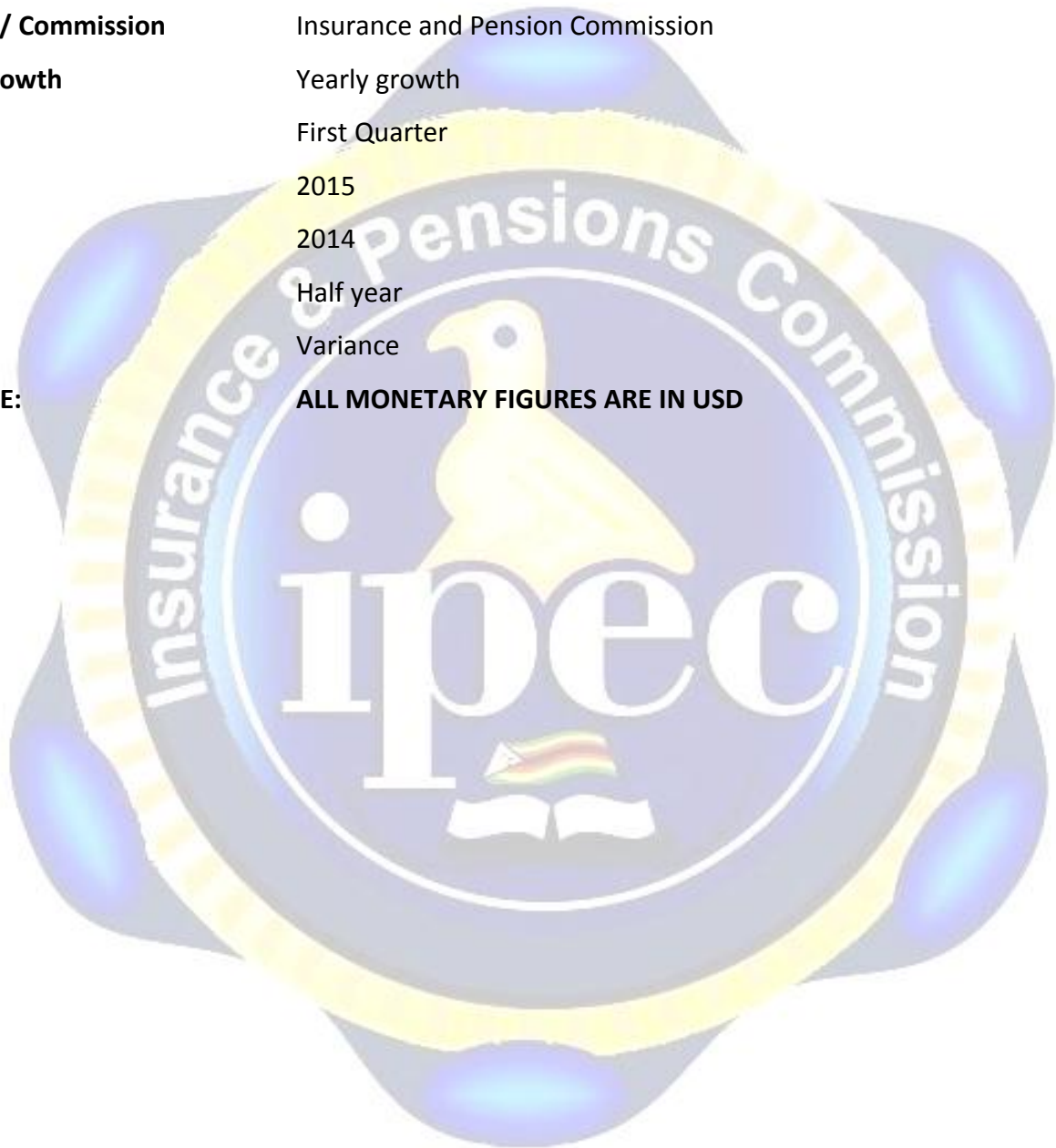
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q1	First Quarter
'15	2015
'14	2014
H1	Half year
Var	Variance

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

This report is in respect of 9 funeral companies

The funeral industry wrote \$18.3 million in net premiums (June 2014:\$18.9 million), a 3% negative growth compared with the same period last year. Total costs increased by 4% compared to the same period last year which amounted to \$13.8million. Technical profit for the six months was \$3,7 million (June 2014:\$5 million).The expense and combined ratios were reported as 26% and 80% respectively (June 2014:42% and 73%).

As at 30 June 2015, total industry assets were \$48.5 million, a 9% increase from \$44.5 million reported for the same period in 2014. The prescribed assets are still below the required 7.5% with the average remaining below 1%.

Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by Funeral Assurance Industry For the Half year ended 30 June 2015

Financial Aspect	Funeral Assurers		
	Jun-14	Jun-15	Movement
Gross Premiums Written(\$000)	18,939	18,334	-3%
Net Premiums Written (\$000)	18,927	18,329	-3%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	4,611	4,701	2%
Total Net Claims (\$000)	4,611	4,701	2%
Management Expenses (\$000)	7,985	8,410	5%
Commissions (\$000)	1,282	1,490	16%
Total Costs(\$000)	13,878	14,602	5%
Technical Profit(\$000)	5,049	3,727	(26%)
Expense Ratio	49%	54%	5%
Claims Ratio	24%	26%	2%
Combined Ratio	73%	80%	7%
Total Assets (\$000)	44,504	48,572	9%
Current Liabilities	12,077	12,874	7%
Total Liabilities (\$000)	18,092	24,263	39%
Current Assets	16,522	15,024	-9%
Liquidity Ratio	137%	123%	-14%
Capital(\$000)	26,412	23,409	-11%
Capital to liability Ratio	146%	99%	-47%
Prescribed Assets (\$000)	14	108	671%

4.0 Update on Operations

The table below shows the total number of registered agents as at 30 June 2015 and the total workforce employed by the funeral industry for the same period. Players are encouraged to ensure that all agents are registered with the Commission. 9 institutions were registered and operating in the funeral industry as at 30 June 2015.

Table 2: Agents and Staff for the Funeral Industry

Name Of Company	Corporate Agents	Sole Agents	Staff
Cell	0	2	19
Doves	0	90	60
First Funeral	0	60	49
Foundation	0	18	28
Moonlight	0	549	361
Passion	0	4	5
Ruvimbo	0	13	48
Sunset	0	10	13
Vineyard	3	11	58
Total	3	757	641

For the half year ended 30 June 2015, players wrote \$18.3 million in Net Written Premiums (March 2015:\$9.1million), a negative 3% growth compared to the same period last year (See Table 3, below).

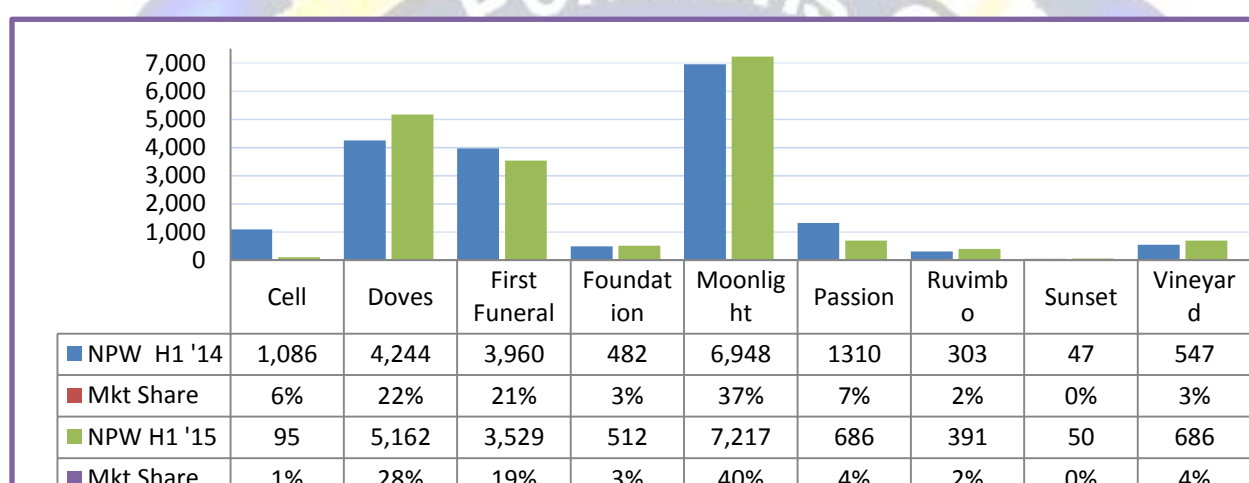
Table 3: Net Premium Distribution by Company for the half year ended 30 June 2015

Name Of Company	June 2014(000)	June 2015(000)	Growth
Cell	1,086	95	-91%
Doves	4,244	5,162	22%
First Funeral	3,960	3,530	-11%
Foundation	482	512	6%
Moonlight	6,948	7,217	4%
Passion	1,310	686	-48%
Ruvimbo	303	391	29%
Sunset	47	50	6%
Vineyard	547	686	25%
Total	18,927	18,329	-3%

For the half year ended 30 June 2015; three funeral assurers wrote 87% of net business. The remaining six players shared only 13% of the \$18 million business which was retained. The Commission notes the three oligopolies with 87% of the market share, and is hopeful that they will resist the temptations to control and determine the pricing regime of these funeral products. This might also affect the concept of treating customers fairly as it might kill off competition.

The Commission will in the near future register players who will specifically offer micro insurance products to cater for those with little disposable income.

Figure 1: Market Share by Net Premium Written for the half year ended 30 June 2015



5.0 Business Composition

For the half year under review, the industry wrote \$18.9 million in gross premiums. We continue to encourage players to take advantage of the available reinsurance options as this will strengthen their balance sheet and improve their underwriting capacity. Players should be encouraged to reinsure as a risk management tool to protect themselves in the event of a catastrophe.

Individual life business represented 48% of the total business underwritten by funeral companies in the period under review, with corporate business contributing 52% of the premiums written by the funeral industry. There has been a significant improvement from individual life as compared to the same period last year whereby the premiums only represented 34%. However, there has been a decline in new business as shown below whereby only 2% of the premiums were as a result of new business. The composition of business underwritten in the half year shown in the table 4 and Figure 2 below.

Table 4: Business Composition by Company for the half year ended 30 June 2015

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums			Jun-14	Jun-15	Growth (%)
	Jun-14	Jun-15	Growth (%)	Jun-14	Jun-15	Growth (%)	Jun-14	Jun-15	Growth (%)	Jun-14	Jun-15	Growth (%)			
Cell	6	0	-100%	279	0	-100%	0	0	0%	813	95	-88%	1098	95	-91%
Doves	17	29	71%	706	684	-3%	58	69	19%	3463	4,380	26%	4,244	5,162	22%
F. Funeral	67	26	-61%	3,893	3,504	-10%	0	0	0%	0	0	0%	3,960	3,530	-11%
Foundation	6	10	67%	476	83	-83%	0	0	0%	0	419	0%	482	512	6%
Moonlight	0	0	0%	3,535	3,740	6%	177	148	-16%	3,236	3,329	3%	6,948	7,217	4%
Passion	33	13	-61%	265	203	-23%	58	24	-59%	954	446	-53%	1,310	686	-48%
Ruvimbo	0	27	0%	303	144	-52%	0	36	0%	0	184	0%	303	391	29%
Sunset	0	0	0%	47	55	17%	0	0	0%	0	0	0%	47	55	17%
Vineyard	2	2	0%	528	283	-46%	8	20	150%	9	381	4133%	547	686	25%
TOTAL	131	107	-18%	10,032	8,696	-13%	301	297	-1%	8,475	9,234	9%	18,939	18,334	-3%

Figure 2: Business Composition for the half year ended 30 June 2015 (000)



7.0 Not-taken Up policies and Lapsed Policies

For the current reporting period, funeral assurers reported not-taken up policies amounting to \$134 000. As a percentage of total premiums for the half year ended 30 June 2015, it represents an average of 0.7 % lapse ratio. We continue to encourage funeral companies to reduce lapse ratios by ensuring that their agents have been trained and understand the products they are selling. Table 5, below shows the detailed lapse ratios for the half year.

Table 5: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	3	0	0
Doves	0	0	0
First Funeral	12	95	0
Foundation	1	44	0
Moonlight	51	0	42
Passion	0	0	0
Ruvimbo	66	30	38
Sunset	1	0	0
Vineyard	0	11.1	4.5
Total	134	N/A	N/A

8.0 Claims Aged Analysis

The total outstanding claims for the period were amounting to \$78 000. Funeral companies should build their reputation on paying claims as soon as possible. As bereavement is a sensitive subject, the funeral industry should not record outstanding claims of more than 30 days. In the case of reported claims but not yet fully paid then efforts should be made to pay within 60 days.

Table 6: Claims Aged Analysis (000)

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	21	0	9	0	4	0	0	6	0	40
31-60days	0	0	13	0	0	0	0	0	0	13
61-90days	0	0	0	0	0	0	0	0	0	0
91-120days	0	0	0	0	0	0	0	0	0	0
<121 days	0	0	0	25	0	0	0	0	0	25
Reinsurance	0	0	0	0	0	0	0	0	0	0
Total	21	0	22	25	4	0	0	6	0	78

9.0 Debtors Aged Analysis (000)

For the half year of 2015, the industry recorded total premium debtors amounting to \$2.9 million, which is 12% less than the amount reported last quarter of \$3,3million. The amount of premium debtors above 120 days of \$768 000 is too high and funeral companies should come up with payment terms or discounts to recover some of these amounts.

Table 7: Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	6	0	0	1	297	41	7	0	141	493
31-60days	3	0	0	4	397	40	37	0	98	579
61-90days	5	0	286	11	355	35	32	0	26	750
91-120days	0	0	0	13	260	23	32	0	26	354
<121 days	0	0	0	39	321	292	27	0	89	768
Total	14	0	286	68	1,630	431	135	0	380	2,944

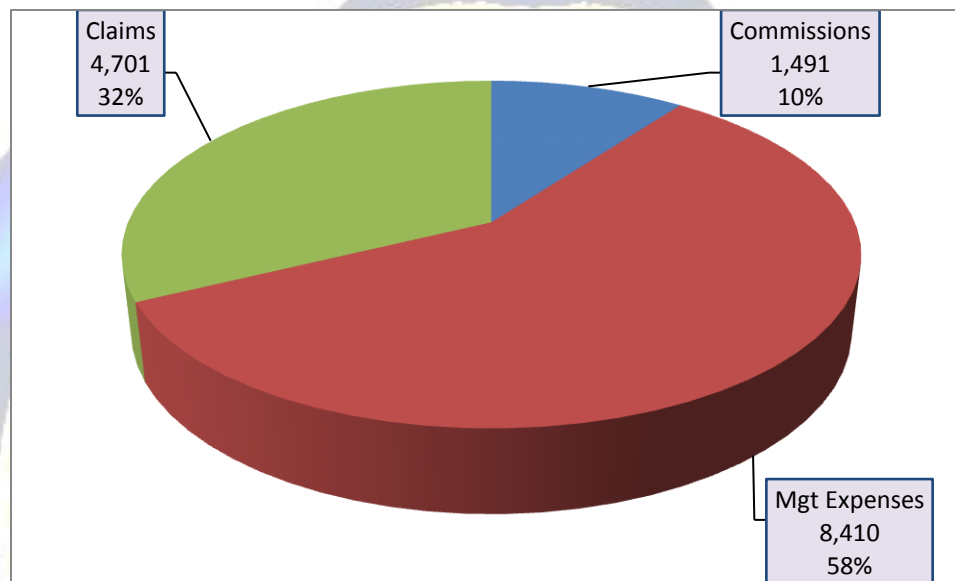
10.0 Earnings

The key earnings indicators for the funeral assurance industry are as shown in Table 8 and Figure 3 below.

Table 8: Key Earnings Indicators By Company for the half year ended 30 June 2015

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	Jun-14	Jun-15	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Cell	1086	95	23	22	-4%	8	0	-100%	632	116	-82%	663	138	-377%	61%	145%	84%
Doves	4,244	5,162	2046	2,129	4%	340	448	32%	1420	1,368	-4%	3,806	3,945	4%	90%	76%	-14%
F/Funeral	3,960	3,530	1138	1,063	-7%	543	727	34%	978	1,033	6%	2,659	2,823	6%	67%	80%	13%
Foundation	482	512	57	71	25%	32	43	34%	362	358	-1%	451	472	4%	94%	92%	-2%
Moonlight	6,948	7,217	1062	1,142	8%	310	249	-20%	3,867	4,840	25%	5,239	6,231	16%	75%	86%	11%
Passion	1310	686	150	149	-1%	21	2	-90%	264	299	13%	435	450	3%	33%	66%	33%
Ruvimbo	303	391	25	26	4%	6	8	33%	151	219	45%	182	253	28%	60%	65%	5%
Sunset	47	50	1	1	0%	3	0	-100%	38	27	-29%	42	28	-50%	89%	56%	-33%
Vineyard	547	686	109	98	-10%	19	13	-32%	273	150	-45%	401	261	-54%	73%	-35%	6%
Total	18,927	18,329	4,611	4,701	2%	1,282	1,490	16%	7,985	8,410	5%	13,878	14,602	5%	73%	80%	7%

Figure 3: Cost Distribution for the Quarter ended 30 June 2015



For the period under review, operational costs amounted to \$8.4million or 58% of total costs (March 2015:\$ 4.1million or 58%); claims-\$4.7 million or 32% and total commission was 10% (\$1.4million) of total costs.

The industry recorded an average combined ratio of 80% (June 2014:73%) and an expense ratio of 54%. Management expenses should continue being reduced.

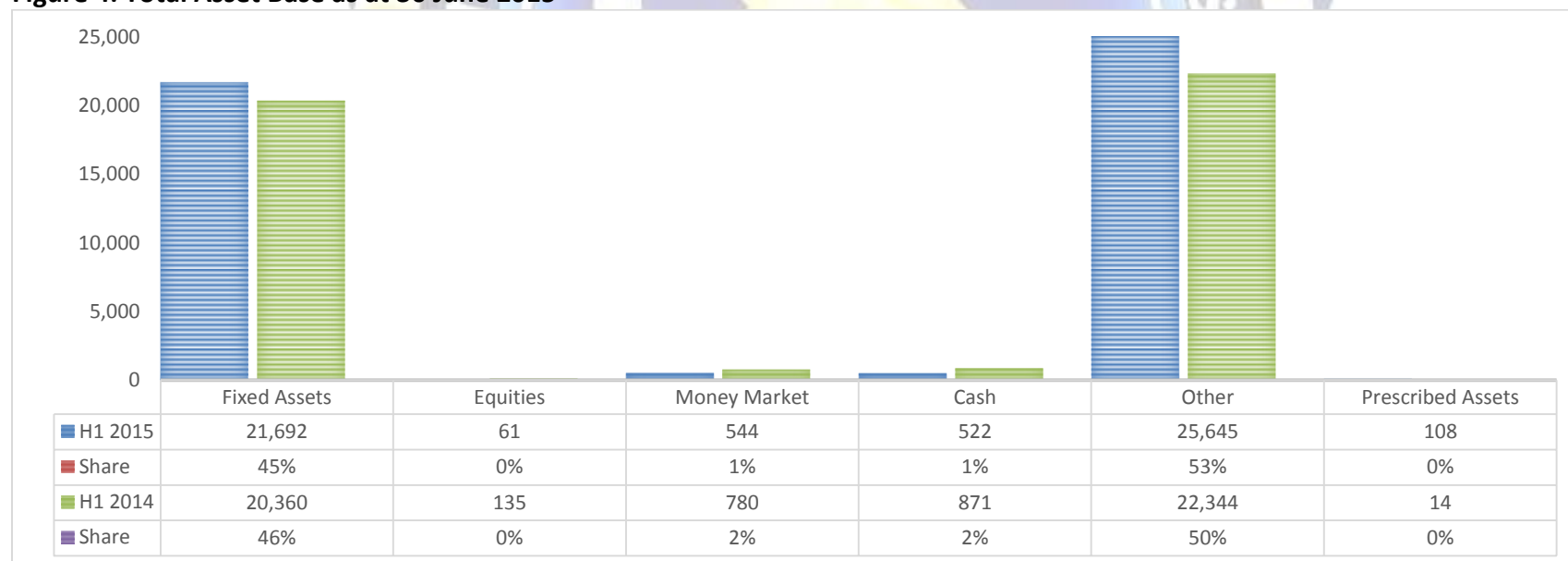
11. Asset Quality

The total asset base of the funeral industry as at 30 June 2015 was as illustrated in Table 9 and Figure 4 below.

Table 9: Funeral industry Asset Base as at 30 June 2015

Company	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Jun-14	Jun-15	Var	Jun-14	Jun-15	Var	Jun-14	Jun-15	Var %	Jun-14	Jun-15	Var	Jun-14	Jun-15	Var %	Jun-14	Jun-15	var	Jun-14	Jun-15	Var
Cell	221	902	308%	17	16	-6%	510	118	-77%	359	12	-97%	205	76	-63%	0	0	0%	1,312	1,124	-14%
Doves	3,534	3,639	3%	103	5	-95%	103	320	211%	159	322	103%	11,331	12,365	9%	7	23	229%	15,237	16,674	9%
F/Funeral	1,295	1,106	-15%	12	37	208%	0	0	0%	70	35	-50%	4,625	6,737	46%	0	0	0%	6,002	7,915	32%
Foundation	1,395	1,395	0%	0	0	0%	65	34	-48%	24	74	208%	589	629	7%	7	48	586%	2,080	2,180	5%
Moonlight	9,350	9,946	6%	0	0	0%	0	0	0%	151	4	-97%	3,551	3,608	2%	0	16	0%	13,052	13,574	4%
Passion	639	640	0%	0	0	0%	50	0	-100%	59	26	-56%	654	595	-9%	0	0	0%	1,402	1,261	-10%
Ruvimbo	1069	1,086	2%	0	0	0%	0	0	0%	12	12	0%	790	1,041	32%	0	2	0%	1,871	2,141	14%
Sunset	1,695	1,678	-1%	0	0	0%	0	0	0%	0	0	/0!	21	21	0%	0	0	0%	1,716	1,699	-1%
Vineyard	1162	1,300	12%	3	3	0%	52	32	-38%	37	37	0%	578	571	-1%	0	19	0%	1,832	1,962	7%
Total	20,360	21,692	7%	135	61	-55%	780	544	-35%	871	522	-40%	22,344	25,645	15%	14	108	671%	44,504	48,572	9%

Figure 4: Total Asset Base as at 30 June 2015



As at 30 June 2015, the total asset base was highly skewed towards fixed assets-45% or \$22million (June 2014:46% or \$20million), equities-\$0.061million or 0%(June 2014: 0.135million or 0 %), money market-\$0.544million or 1 %(June 2014: 0.78 million or 2%) cash assets-1% or \$0.522million (June 2014:\$0.871m or 0%) and other assets-\$26million or 53% (June 2014:50% or \$22million). All funeral companies should participate in the bond market so as to improve their prescribed asset ratio which is very low at 1% compliance. The 31st December 2015 deadline for full compliance is fast beckoning.

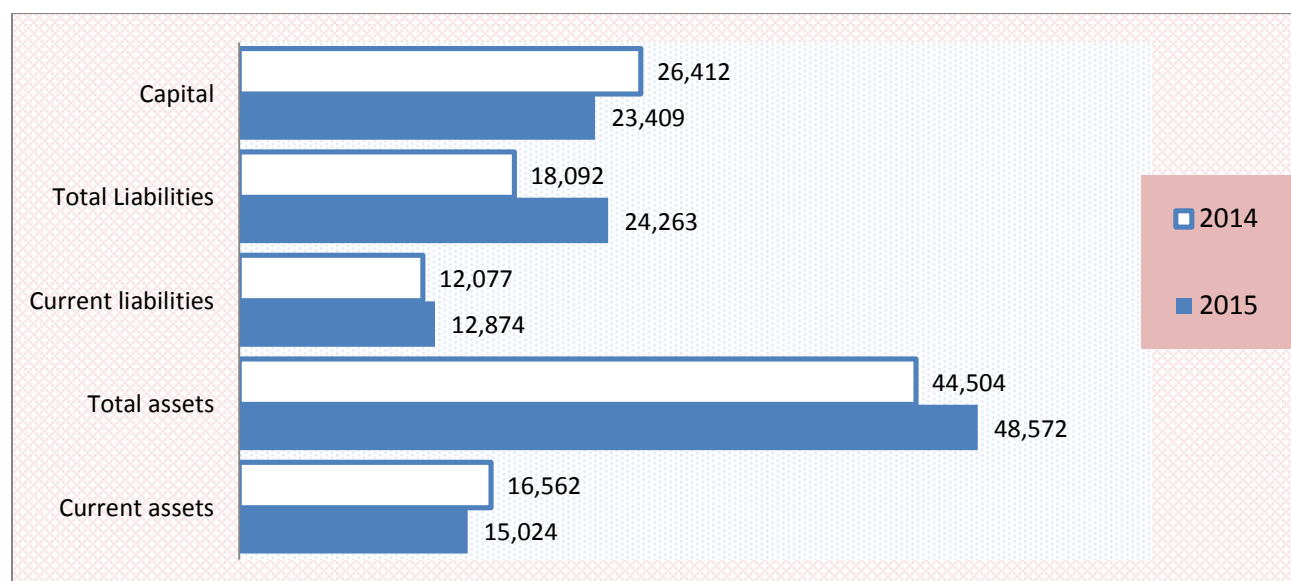
12. Capitalization and Solvency

The Commission has been engaging with the three entities with capital levels below the minimum required capital levels of \$1.5 million. Players reported average liquid ratios of 123% representing a reduced exposure to operational risk.

Table 10: Levels of Capitalization, Liquidity and Solvency Indicators as at 30 June 2015

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	14-Jun	15-Jun	%	14-Jun	15-Jun	%	14-Jun	15-Jun	14-Jun	15-Jun	%	14-Jun	15-Jun	%	14-Jun	15-Jun	%	14-Jun	15-Jun	%
Cell	961	222	-77%	1279	609	-52%	1,312	1,124	1,279	609	-52%	33	515	1461%	3%	85%	82%	75%	36%	39%
Doves	5,433	6,798	25%	1854	1,575	-15%	15,237	16,674	2,207	7,058	220%	13,030	9,616	-26%	590%	136%	-454%	293%	432%	139%
F/Funeral	4,707	2,283	-51%	455	287	-37%	6,002	7,915	946	2,700	185%	5,056	5,215	3%	534%	193%	-341%	1035%	795%	-240%
Foundation	499	569	14%	479	484	1%	2,080	2,180	1,760	1,405	-20%	320	775	142%	18%	55%	37%	104%	118%	14%
Moonlight	3,686	3,612	-2%	7,025	8,685	24%	13,052	13,574	10,748	11,890	11%	2304	1,684	-27%	21%	14%	-7%	52%	42%	-10%
Passion	541	576	6%	355	357	1%	1,402	1,261	355	357	1%	1047	904	-14%	295%	234%	-61%	152%	160%	8%
Ruvimbo	202	452	124%	340	639	88%	1,871	2,141	340	639	88%	1,531	1,502	-2%	450%	235%	-215%	59%	71%	-12%
Sunset	2	1	-50%	124	84	-32%	1,716	1,699	125	84	-33%	1,591	1,615	2%	1283%	1923%	640%	2%	1%	-1%
Vineyard	531	511	-4%	166	157	-5%	1,832	1,962	332	379	14%	1500	1,583	6%	452%	418%	-34%	320%	325%	5%
Total	16,562	15,024	-9%	12,077	12,874	7%	44,504	48,572	18,092	24,263	39%	26,412	23,409	-11%	146%	99%	-47%	137%	123%	-14%

Figure 5: Levels of Capitalization, Liquidity and Solvency Indicators



13.0 Summary Of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 11: Issued Circulars and Statutory Instruments for the Quarter

Circular 1 of 2015	Clarification of the implementation of circular 2 of 2013, 1 of 2014 and circular 8 of 2014	
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Table 12: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
CABS	Budiriro Housing Project	To fund the servicing and construction of low cost houses in Budiriro	10 Years	10% p.a	March 2015

Conclusion

The half year results indicate that most funeral companies are facing challenges in premium collection and new business has been dwindling. Players should consider micro-insurance products in order to target the informal market.